ERock

EROC | NYSE | 2026-10-07

Q4 2027 model ceiling: USD 11.52

Analytical Base 42/60 = 70 | Temporal bottleneck / Watchlist

20x forward-four-quarter GAAP operating profit divided by average full economic diluted shares over the same four quarters; no cash addition. Quarter Q includes Q plus next three quarters.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	159.2	20x	276.376	11.52

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Thesis

ERock sells a practical response to the gap between data-center construction and utility interconnection. Its natural-gas generator platform can provide bridge power while a customer waits for the grid, then become backup or dispatchable capacity. The investment case is a conversion problem: $1.7 billion of contracted equipment and installation backlog must become accepted generators, completed site work and service revenue at a profit. A large backlog does not establish a monopoly, and the company was still losing money at the operating level in the latest reported quarter.

The research model uses 20 times forward-four-quarter GAAP operating profit and the full economic diluted share base. It does not capitalize adjusted EBITDA, count all customer-funded cash as surplus, or divide consolidated earnings by the public Class A float alone. Its Q4 2027 ceiling is $11.52 per share. The analytical Base is 42/60, or 70. The moat is qualification, integration and operating experience; the opportunity is a temporal power bottleneck with meaningful alternatives.

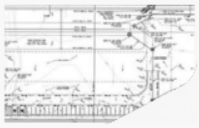
Engineering and business model

A RockBlock combines proprietary natural-gas engines, control software and an integrated deployment and maintenance process. Blocks scale in 0.5 MW increments up to 3.5 MW. The important engineering questions are transient response, emissions, fuel availability, redundancy and serviceability. An AI site experiences changing electrical loads; nameplate MW is useful only if voltage and frequency remain within the customer’s requirements through those changes. ERock says its system can reduce the batteries otherwise needed to smooth load swings. That is a system-level claim whose value depends on the customer configuration, rather than an assurance that every site needs no batteries.

The issuer reports 99.999% combined reliability across its customer fleet, more than 400 operational sites and over two million runtime hours. Its comparison with gas turbines, other reciprocating engines and fuel cells is based on internal data and expert interviews. This is meaningful operating history, but it is not an independent certification of superior economics under every duty cycle. The deck prints greater than ten seconds to full load while management described as little as ten seconds. The model does not monetize that unresolved wording into a premium.

Manufacturing is principally assembly rather than construction of a heavy engine foundry. That reduces capital needed for an extra line, but it moves some constraints upstream. Qualified engine long blocks, electronics, generator components and service parts still have to arrive. Onsite gas infrastructure and permits are separate constraints. A rapid assembly expansion cannot make a gas connection or air permit appear.

Seamless Turnkey Power Delivery Through ERock's Integrated Platform





Originate

Early Customer Engagement Drives Execution and Speed

Design

Integrated System Engineering for Multiple Technology Types

Assemble

Built to Scale with **1.2 GW of Expected Production Capacity** by YE 2026

Install

Kitted, In-Field Assembly lowers time on site and improved safety

Operate

Provides **Full Lifecycle O&M**(1) Across Islanded and Grid-Connected Configurations

Optimize

Market Operations and Dispatch Management Across Utility Programs and Wholesale Markets

Note: (1) Operations and Maintenance (O&M).

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Original issuer exhibit | Issuer platform: origination through lifecycle service;1.2GW is targeted capacity, not accepted output.

ERock's Technology Advantage

	The ERock Advantage	ERock	Reciprocating Engines	Natural Gas Fuel Cells	Simple Cycle (CT)	CCGT
Prime Power	Long-Term Track Record of 99.999% Combined Reliability(1)	●	●	●	●	●
Fast-Start / Backup Power	Can Meet Diesel-Equivalent Ramp to Full Power	●	◐	○	○	○
Affordability	Low Total Cost of Ownership	●	◐	○	◐	○
Transient Response	Handle AI Ramps with Less Storage Capacity	●	◐	○	◐	○
Environmentally Friendly	Zero Water, Less Noise Pollution	●	◐	●	○	○
Modularity	Less Overbuild vs. Larger Units	●	◐	●	○	○
Time-to-Market	Proprietary Supply Chain and Turnkey EPC Delivery	●	●	●	○	○

ERock is one of the fastest and lowest total cost of ownership solutions to meet the "Bring-Your-Own-Generation" requirements of mission-critical customer load

Source: ERock internal data and expert interviews
Note: (1) Reflects average annual combined reliability to ERock customers from 2017 to 2025

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Original issuer exhibit | Issuer comparative claims from internal data/expert interviews; not an independent ranking.

Customers and backlog recognition

June 30 contracted power-system sales backlog was approximately $1.7 billion. Anthropic's 470 MW equipment order is already inside that amount. The issuer specifically excludes installation and operations/maintenance scope from the initial Anthropic award. El Paso Electric's 366 MW system supporting Meta is a separate signed project, with initial operations targeted for mid-2027. ERock sells equipment and performs installation; it does not own Meta's compute business or receive Meta's full power-purchase-agreement economics.

Hardware revenue generally transfers when contractual control and factory acceptance requirements are met. Qualifying bill-and-hold arrangements can recognize revenue before delivery to a ready site. Installation revenue is recognized over time using cost-to-cost progress. Ongoing maintenance and warranty obligations are recognized over their service periods. Revenue, completed assembly, site commissioning and electricity delivered therefore have different dates. The model should be tested against the correct milestone for each vector.

The $1.8 billion remaining-performance-obligation disclosure is not added to the $1.7 billion sales backlog. Its contractual scope includes installation and associated fixed service consideration; it has different exclusions for short contracts and usage-based fees. Similarly, the installed base of 1,104 MW is an operating stock, not new annual generator shipments.



Original issuer exhibit | El Paso Electric/Meta366MW project: mid2027 initial operations target; utility owns the equipment.



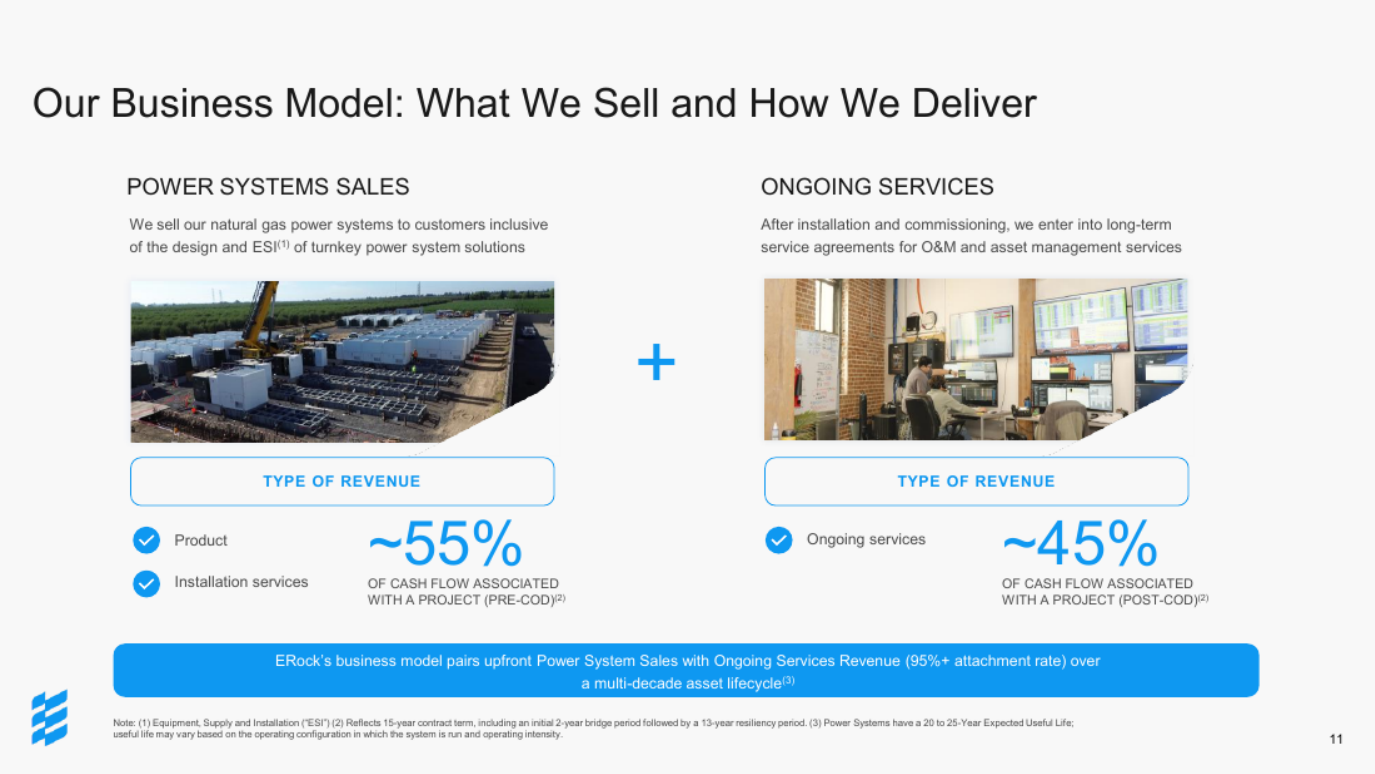
Original issuer exhibit | Backlog and sold-out capacity status at June30; Anthropic installation/O&M not yet included.

Monetization and margins

Four separate vectors prevent pass-through revenue from masquerading as margin expansion: generators, installation, core service/warranty, and reimbursable service costs. In Q2, $6.38 million of reimbursable variable revenue had essentially equal costs. Removing it raised the disclosed adjusted gross-margin percentage from 18.6% to 22.2% without creating additional gross-profit dollars. Full-year and longer-range revenue forecasts retain these transactions where appropriate, with zero gross profit.

The reference generator gross margin is 26.5% before separately allocated plant depreciation in 2027 and 27% subsequently; installation is 19%. These are explicit operating assumptions, not disclosed future product guidance. Core service margins are modeled around 64-65%, while reimbursable transactions remain at zero. Plant depreciation is allocated to the generator vector once. G&A includes engineering, sales, public-company expense and stock compensation; the financial appendix does not deduct the same depreciation or compensation twice.

The presentation illustrates 55% of a project's lifecycle cash flow before commercial operation and 45% afterward. That example assumes a 15-year service arrangement with a two-year bridge period and thirteen-year resiliency period. It is not annual revenue mix, and it does not mean current service gross margin is 45%. Services attach to more than 95% of deliveries according to management, but economic capture still depends on the contract's term, operating hours, maintenance burden and reimbursable scope.



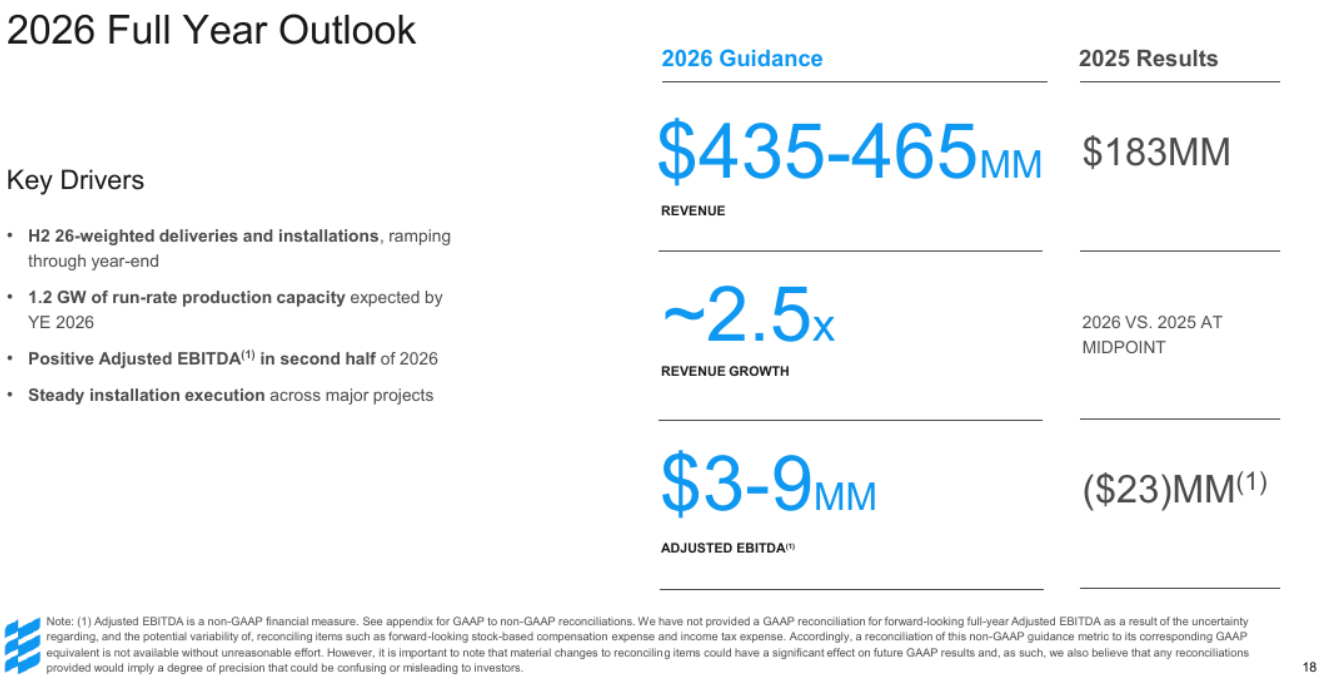
Original issuer exhibit | Illustrative15-year cash-flow split;45% service cash share is neither revenue mix nor annual margin.

Latest financial anchor

The latest reported quarter is Q2 2026: revenue of $39.878 million, gross profit after depreciation of $7.432 million and GAAP operating loss of $19.848 million. The much larger $67.719 million net loss includes a $48.774 million debt-extinguishment charge below operating profit. It is not appropriate to deduct that charge again from the GAAP operating-profit valuation basis.

The model anchors FY2026 revenue at the $450 million midpoint of $435-465 million guidance. It reconstructs $6 million adjusted EBITDA, inside the $3-9 million guided range, then subtracts $6.809 million depreciation, $11 million assumed stock compensation and the already reported $2.245 million non-recurring professional fees. The resulting GAAP operating loss is $14.054 million. H1 actual operating loss of $35.599 million requires substantial second-half recovery. Q3/Q4 timing is a labeled allocation, not quarterly issuer guidance.

Two presentation defects require care. The press-release Q1 adjusted-EBITDA summary does not sum with Q2 to the filed H1 result; the filed H1 total is used. The earnings deck's Q2 EBITDA change column also contains incorrect arithmetic. These defects do not invalidate the reconciled GAAP operating statements. The inaugural August 12 call is the only public quarterly management call since the June IPO; the prospectus supplies earlier annual context.



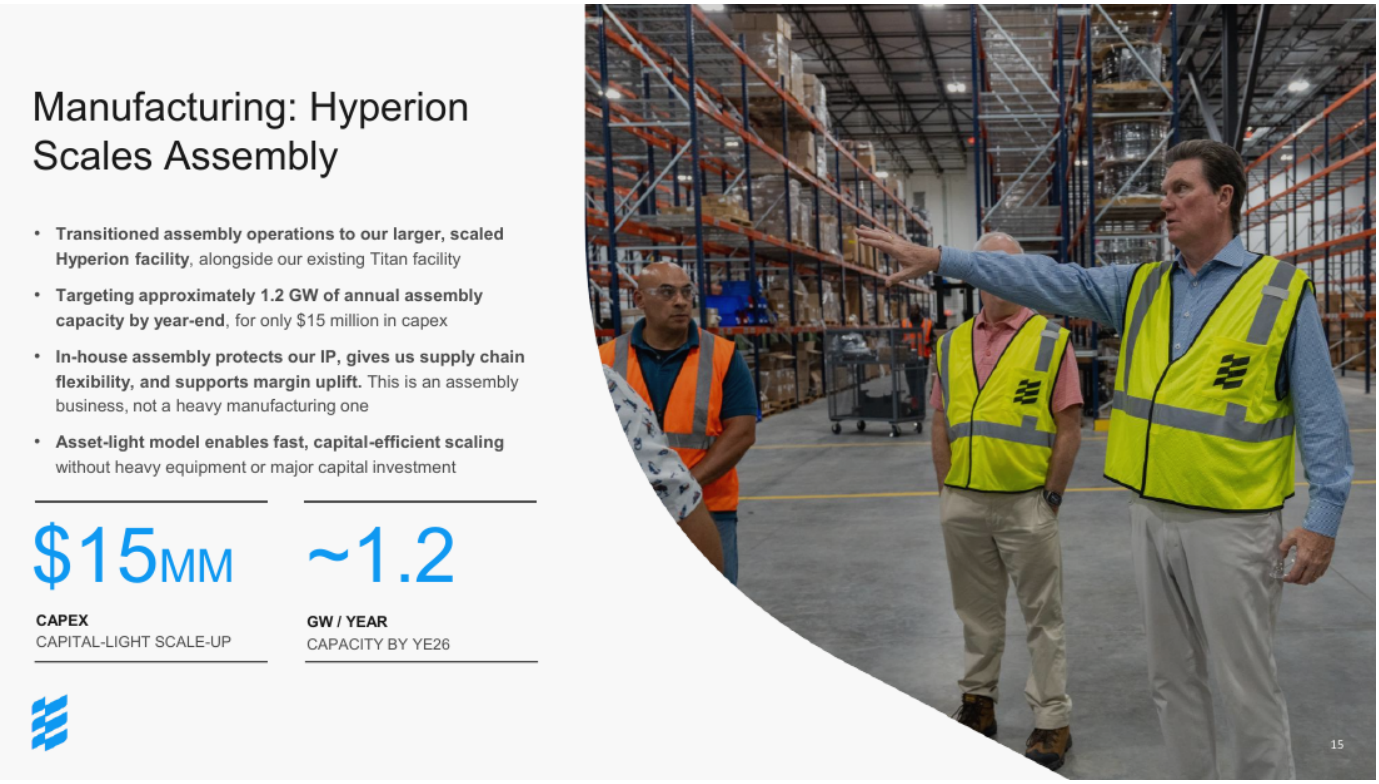
Original issuer exhibit | Issuer FY26 revenue and adjusted EBITDA guidance; model independently bridges to GAAP OP.

Capacity, timing and the October supply agreement

Hyperion is expected to bring annual assembly capacity to 1.2 GW by year-end 2026 for around $15 million capex. On October 7, ERock announced a signed HD Construction Equipment long-block supply agreement spanning 2027-28. It improves confidence in converting existing commitments, but the release provides no volumes or unit prices and is not an additional sales award.

The model gives a 65% probability to $80 million of existing power-system sales moving from 2028 into 2027, bounded at zero to $120 million. The same amount is removed in 2028, so cumulative revenue is unchanged. Existing equipment/installation margins apply, with $2 million conditional extra qualification and expedite expense. This is deliberately a timing bridge. Counting the supply agreement as an independent $1.7 billion demand shock would duplicate the backlog.

A separate 45% expansion branch permits one additional 1.2 GW assembly module after sufficient orders, with $20 million capex in 2028 and accepted incremental output of 600 MW in 2029 and 800 MW in 2030. It includes new support expense, plant depreciation and maintenance costs. The additional facility has not been announced. The selected output remains below its hypothetical nameplate capacity, and the funding test includes the capital outlay before recognizing the benefit.



Original issuer exhibit | Hyperion1.2GW/year target and$15m facility capex; upstream engines and site acceptance remain separate constraints.

What the uncontracted opportunities add

The Anthropic attachment branch uses a 55% probability. Conditional installation revenue is $141 million, or $300,000 per MW, within a stated $200,000-400,000 range. Half is recognized in 2027 and half in 2028 at 18% gross margin. O&M eventually reaches $11.1625 million annually using 470 MW, 95% attachment and $25,000 per MW-year, with a ramp and a 62% gross-margin assumption. Incremental engineering and selling costs equal 4% of added revenue. These unit economics are proxies, not a quoted Anthropic price. The equipment itself is fully in the reference case; reference services exclude this prospective cohort.

Management's comments on better pricing apply mainly to 2028 and beyond because existing capacity is committed into early 2028. The model assigns 60% probability to a 4% premium, within a 2-6% conditional range, on only $400 million, $650 million and $800 million of newly negotiated eligible sales in 2028-30. Seventy percent flows to operating profit after component, warranty and support costs. It does not reprice signed fixed backlog or apply the premium again to the separate expansion branch.

Shares, funding and claims

The June capital structure contains 48.174023 million Class A shares and 171.226057 million paired Class B interests, plus 52.372703 million estimated Class A-equivalent shares from Class M interests. Adding separately disclosed restricted awards produces 272.8012 million economic diluted units before subsequent assumed compensation issuance. Future share growth is 0.55 million units per quarter. Full consolidated operating profit uses this full denominator; no additional noncontrolling-interest deduction is applied. The 48.174023 million GAAP loss-per-share denominator excludes antidilutive securities and cannot price all consolidated future profits.

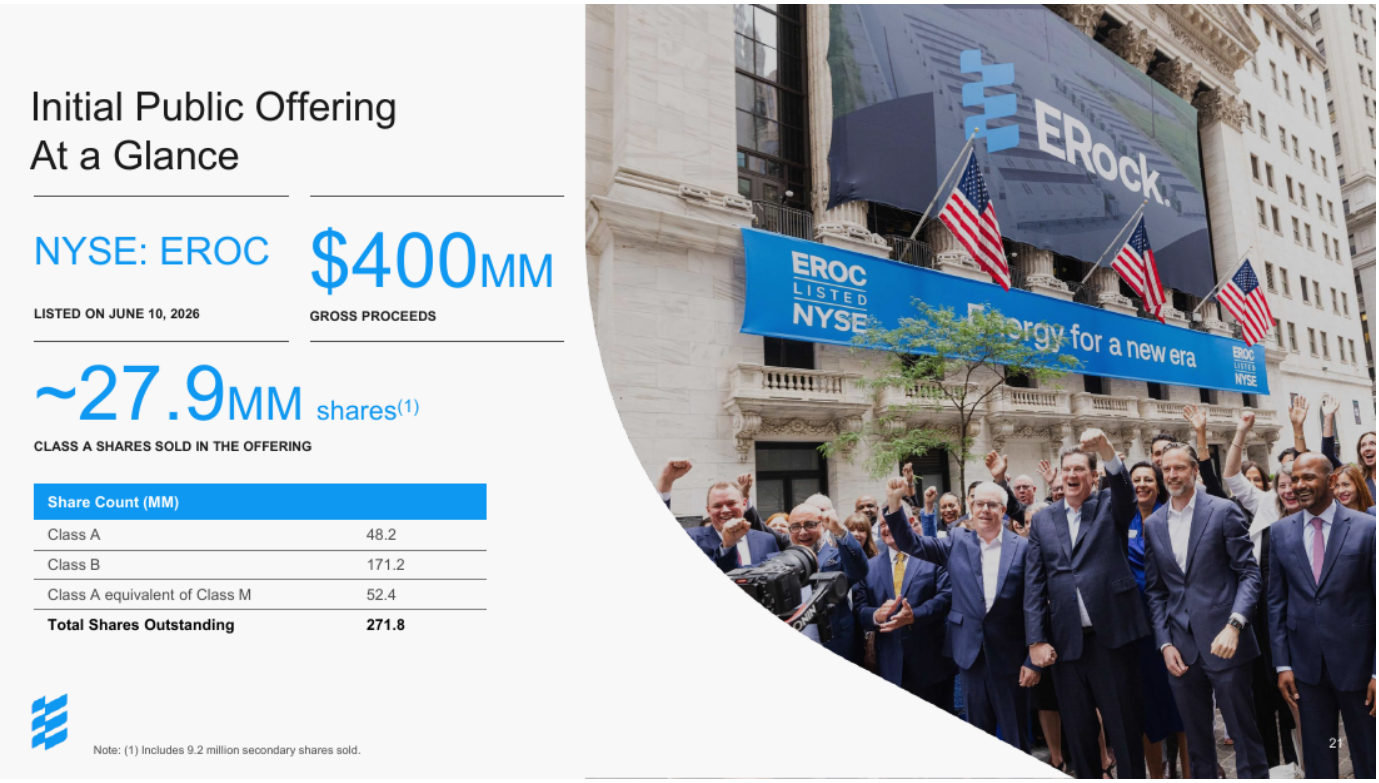
Class M conversion depends on thresholds, vesting and enterprise value. Using the full current exchange reserve is conservative for lower valuations and avoids solving a circular reduced denominator merely to lift the target. The

maximum outstanding Class M unit count provides a sensitivity. Existing preferred units and warrants converted during the IPO; no duplicate surviving preferred claim is carried forward.

Cash was $626.636 million, with an additional $34.225 million restricted. Debt was zero and an undrawn $250 million facility remained available, subject to borrowing-base and covenant conditions. The $528.405 million contract liability represents customer prepayments against work still owed. The model therefore adds no cash premium to the earnings valuation and does not call the whole balance distributable surplus.

A quarter-by-quarter funding test models advance replenishment, deposit runoff, inventory/receivable needs, ordinary taxes, capital spending and all sixteen combinations of the four evidence outcomes. The lowest tested cash balance is about $575 million; no new financing is required under those explicit assumptions. This is not a guarantee of liquidity under cancellation or refund stress. Customer advances are modeled at 30% of relevant orders and net operating working assets at 55% of quarterly revenue; both require revision if actual payment terms change.

The tax receivable agreement passes 85% of qualifying realized tax savings to beneficiaries. The model does not recognize the corresponding tax asset or cash savings and reserves ordinary cash taxes in its funding calculation. Early acceleration obligations are a specific unresolved risk. Deducting a full speculative TRA liability while crediting no tax benefit would be a different, unsupported claims assumption.



Original issuer exhibit | Issuer271.8m ClassA-equivalent summary, before separately disclosed1.028417m restricted awards.

Competition, expansion and failure tests

ERock competes with utility interconnections, reciprocating engines, gas turbines, fuel cells, diesel backup and storage-supported alternatives. Bloom offers a different fuel-cell architecture; Caterpillar and Cummins have broad engine and service resources. Comparison must use delivered electrical availability, permitting, fuel and service costs under the same duty cycle, not a single brochure efficiency number. Larger suppliers can respond to scarcity, and cheaper or faster grid service would reduce bridge demand even if backup demand persists.

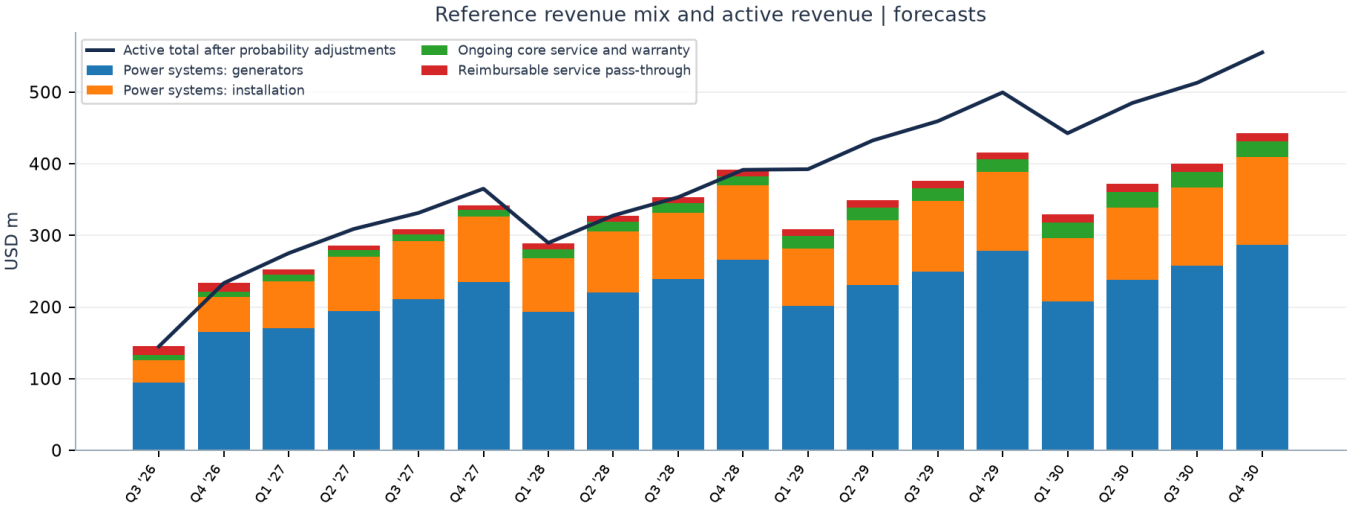
The expansion opportunity includes utilities, commercial resilience, industrial sites and grid dispatch in addition to AI campuses. These uses diversify demand, but each dollar belongs to a specific equipment or service contract. The model does not convert worldwide data-center capex directly into ERock revenue. Annual revenue reaches approximately $1.281 billion in 2027, $1.362 billion in 2028, $1.784 billion in 2029 and $1.996 billion in 2030 only through the explicit backlog, attachment, pricing and capacity bridges.

The next tests are factory-accepted deliveries, the Hyperion run rate, El Paso's operating timetable, executed installation/O&M agreements, the share conversion schedule, and terms on fresh orders. A material cancellation, persistent manufacturing yield problem, gas/permit delay, worsening service losses or advance-payment reversal would directly change the operating and cash model. The analysis has a strong power-shortage mechanism, but execution and commercial capture remain the binding investment questions.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Qualified transient-response platform and lifecycle integration; no proven sole-source gas-generator monopoly.
Cycle	8	Contracted step-up and first scaled assembly year, still loss-making execution.
TAM	7	Bridge, backup and dispatchable use plus services; gas/permitting restrict applicability.
Catalysts	4	Hyperion ramp, El Paso mid2027, delivery and attachment milestones.
Macro	9	Power/interconnection delays encourage behind-meter generation.
Alpha	3	New listing and UP-C/pass-through economics need careful modeling, though public coverage exists.
Risk classes	-4	Distinct execution, customer/site concentration, competition/substitution and UP-C/TRA governance classes.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

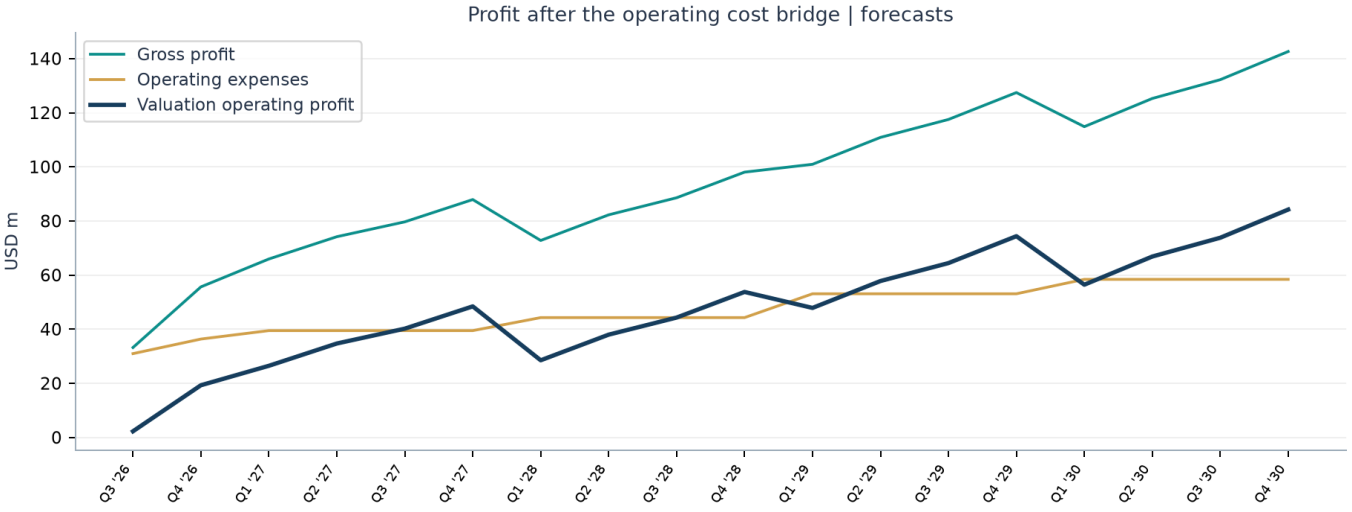
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	145.0	0.0	145.0
Q4 2026	233.4	0.0	233.4
Q1 2027	252.2	22.9	275.1
Q2 2027	286.0	22.9	308.9
Q3 2027	308.5	22.9	331.4
Q4 2027	342.2	22.9	365.1
Q1 2028	289.2	0.2	289.5
Q2 2028	327.5	0.2	327.7
Q3 2028	353.0	0.2	353.2
Q4 2028	391.2	0.2	391.5
Q1 2029	308.9	83.5	392.4
Q2 2029	349.1	83.5	432.6
Q3 2029	375.9	83.5	459.4
Q4 2029	416.1	83.5	499.6
Q1 2030	329.6	113.0	442.6
Q2 2030	371.9	113.0	484.9
Q3 2030	400.1	113.0	513.1
Q4 2030	442.4	113.0	555.4

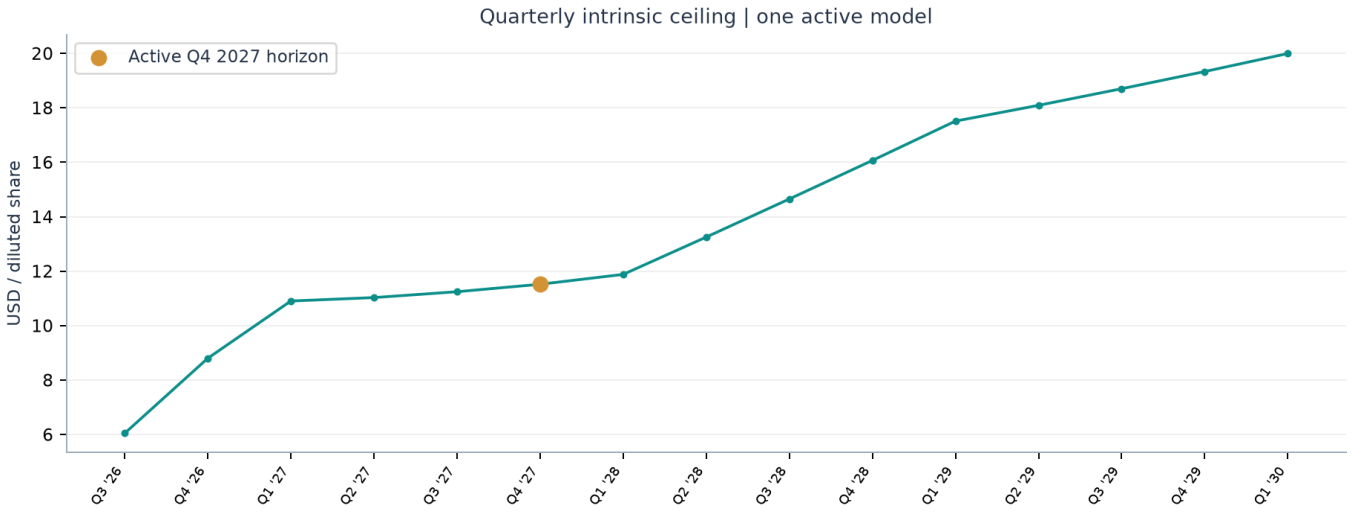
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	145.0	33.2	31.0	2.3	1.6%
Q4 2026	233.4	55.6	36.4	19.3	8.3%
Q1 2027	275.1	65.9	39.5	26.5	9.6%
Q2 2027	308.9	74.2	39.5	34.7	11.2%
Q3 2027	331.4	79.7	39.5	40.2	12.1%
Q4 2027	365.1	87.9	39.5	48.4	13.3%
Q1 2028	289.5	72.8	44.3	28.5	9.8%
Q2 2028	327.7	82.3	44.3	38.0	11.6%
Q3 2028	353.2	88.6	44.3	44.3	12.5%
Q4 2028	391.5	98.0	44.3	53.8	13.7%
Q1 2029	392.4	100.9	53.1	47.9	12.2%
Q2 2029	432.6	110.9	53.1	57.8	13.4%
Q3 2029	459.4	117.5	53.1	64.4	14.0%
Q4 2029	499.6	127.4	53.1	74.4	14.9%
Q1 2030	442.6	114.9	58.4	56.4	12.8%
Q2 2030	484.9	125.3	58.4	66.9	13.8%
Q3 2030	513.1	132.2	58.4	73.8	14.4%
Q4 2030	555.4	142.6	58.4	84.2	15.2%

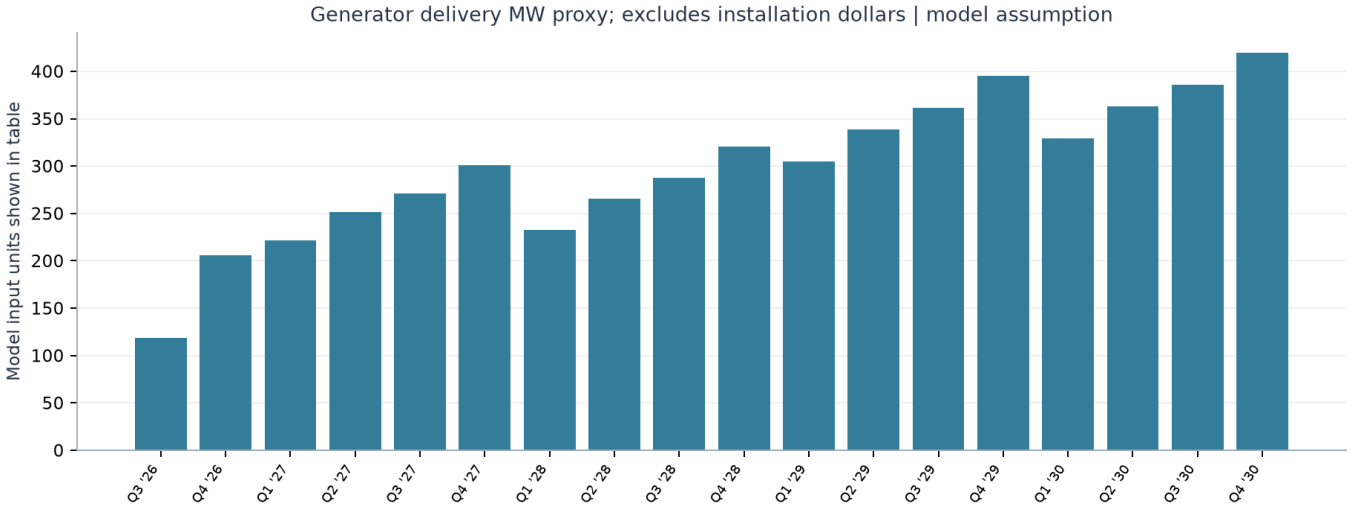
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	82.7	20x	273.626	6.05
Q4 2026	Q4 2026 to Q3 2027	120.7	20x	274.176	8.80
Q1 2027	Q1 2027 to Q4 2027	149.8	20x	274.726	10.91
Q2 2027	Q2 2027 to Q1 2028	151.8	20x	275.276	11.03
Q3 2027	Q3 2027 to Q2 2028	155.1	20x	275.826	11.25
Q4 2027	Q4 2027 to Q3 2028	159.2	20x	276.376	11.52
Q1 2028	Q1 2028 to Q4 2028	164.5	20x	276.926	11.88
Q2 2028	Q2 2028 to Q1 2029	183.9	20x	277.476	13.25
Q3 2028	Q3 2028 to Q2 2029	203.7	20x	278.026	14.65
Q4 2028	Q4 2028 to Q3 2029	223.8	20x	278.576	16.07
Q1 2029	Q1 2029 to Q4 2029	244.4	20x	279.126	17.52
Q2 2029	Q2 2029 to Q1 2030	253.0	20x	279.676	18.09
Q3 2029	Q3 2029 to Q2 2030	262.1	20x	280.226	18.70
Q4 2029	Q4 2029 to Q3 2030	271.4	20x	280.776	19.34
Q1 2030	Q1 2030 to Q4 2030	281.3	20x	281.326	20.00

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Generator delivery MW proxy; excludes installation dollars	Status
Q3 2026	118.750	Guidance-anchored model
Q4 2026	206.250	Guidance-anchored model
Q1 2027	221.277	Model; backlog and bounded expansion assumptions
Q2 2027	251.277	Model; backlog and bounded expansion assumptions
Q3 2027	271.277	Model; backlog and bounded expansion assumptions
Q4 2027	301.277	Model; backlog and bounded expansion assumptions
Q1 2028	232.265	Model; backlog and bounded expansion assumptions
Q2 2028	265.446	Model; backlog and bounded expansion assumptions
Q3 2028	287.566	Model; backlog and bounded expansion assumptions
Q4 2028	320.747	Model; backlog and bounded expansion assumptions
Q1 2029	304.676	Model; backlog and bounded expansion assumptions
Q2 2029	338.559	Model; backlog and bounded expansion assumptions
Q3 2029	361.147	Model; backlog and bounded expansion assumptions

Quarter	Generator delivery MW proxy; excludes installation dollars	Status
Q4 2029	395.029	Model; backlog and bounded expansion assumptions
Q1 2030	328.966	Model; backlog and bounded expansion assumptions
Q2 2030	363.103	Model; backlog and bounded expansion assumptions
Q3 2030	385.862	Model; backlog and bounded expansion assumptions
Q4 2030	420.000	Model; backlog and bounded expansion assumptions

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Power systems: generators	95.0	24.4%	23.2
Q3 2026	Power systems: installation	31.0	19.0%	5.9
Q3 2026	Ongoing core service and warranty	6.5	64.0%	4.2
Q3 2026	Reimbursable service pass-through	12.5	0.0%	0.0
Q4 2026	Power systems: generators	165.0	25.2%	41.5
Q4 2026	Power systems: installation	49.0	19.0%	9.3
Q4 2026	Ongoing core service and warranty	7.5	64.0%	4.8
Q4 2026	Reimbursable service pass-through	11.9	0.0%	0.0
Q1 2027	Power systems: generators	170.1	25.0%	42.6
Q1 2027	Power systems: installation	66.2	19.0%	12.6
Q1 2027	Ongoing core service and warranty	9.0	64.0%	5.8
Q1 2027	Reimbursable service pass-through	7.0	0.0%	0.0
Q2 2027	Power systems: generators	194.4	25.2%	49.0
Q2 2027	Power systems: installation	75.6	19.0%	14.4
Q2 2027	Ongoing core service and warranty	9.0	64.0%	5.8
Q2 2027	Reimbursable service pass-through	7.0	0.0%	0.0
Q3 2027	Power systems: generators	210.6	25.3%	53.3
Q3 2027	Power systems: installation	81.9	19.0%	15.6
Q3 2027	Ongoing core service and warranty	9.0	64.0%	5.8
Q3 2027	Reimbursable service pass-through	7.0	0.0%	0.0
Q4 2027	Power systems: generators	234.9	25.4%	59.7
Q4 2027	Power systems: installation	91.4	19.0%	17.4
Q4 2027	Ongoing core service and warranty	9.0	64.0%	5.8
Q4 2027	Reimbursable service pass-through	7.0	0.0%	0.0
Q1 2028	Power systems: generators	192.8	25.4%	49.1
Q1 2028	Power systems: installation	75.0	19.0%	14.2
Q1 2028	Ongoing core service and warranty	13.0	65.0%	8.5
Q1 2028	Reimbursable service pass-through	8.5	0.0%	0.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	Power systems: generators	220.3	25.6%	56.5
Q2 2028	Power systems: installation	85.7	19.0%	16.3
Q2 2028	Ongoing core service and warranty	13.0	65.0%	8.5
Q2 2028	Reimbursable service pass-through	8.5	0.0%	0.0
Q3 2028	Power systems: generators	238.7	25.7%	61.4
Q3 2028	Power systems: installation	92.8	19.0%	17.6
Q3 2028	Ongoing core service and warranty	13.0	65.0%	8.5
Q3 2028	Reimbursable service pass-through	8.5	0.0%	0.0
Q4 2028	Power systems: generators	266.2	25.9%	68.9
Q4 2028	Power systems: installation	103.5	19.0%	19.7
Q4 2028	Ongoing core service and warranty	13.0	65.0%	8.5
Q4 2028	Reimbursable service pass-through	8.5	0.0%	0.0
Q1 2029	Power systems: generators	201.6	25.3%	50.9
Q1 2029	Power systems: installation	79.8	19.0%	15.2
Q1 2029	Ongoing core service and warranty	17.5	65.0%	11.4
Q1 2029	Reimbursable service pass-through	10.0	0.0%	0.0
Q2 2029	Power systems: generators	230.4	25.5%	58.7
Q2 2029	Power systems: installation	91.2	19.0%	17.3
Q2 2029	Ongoing core service and warranty	17.5	65.0%	11.4
Q2 2029	Reimbursable service pass-through	10.0	0.0%	0.0
Q3 2029	Power systems: generators	249.6	25.6%	63.9
Q3 2029	Power systems: installation	98.8	19.0%	18.8
Q3 2029	Ongoing core service and warranty	17.5	65.0%	11.4
Q3 2029	Reimbursable service pass-through	10.0	0.0%	0.0
Q4 2029	Power systems: generators	278.4	25.7%	71.7
Q4 2029	Power systems: installation	110.2	19.0%	20.9
Q4 2029	Ongoing core service and warranty	17.5	65.0%	11.4
Q4 2029	Reimbursable service pass-through	10.0	0.0%	0.0
Q1 2030	Power systems: generators	207.9	25.1%	52.1
Q1 2030	Power systems: installation	88.2	19.0%	16.8
Q1 2030	Ongoing core service and warranty	22.0	65.0%	14.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Reimbursable service pass-through	11.5	0.0%	0.0
Q2 2030	Power systems: generators	237.6	25.3%	60.2
Q2 2030	Power systems: installation	100.8	19.0%	19.2
Q2 2030	Ongoing core service and warranty	22.0	65.0%	14.3
Q2 2030	Reimbursable service pass-through	11.5	0.0%	0.0
Q3 2030	Power systems: generators	257.4	25.4%	65.5
Q3 2030	Power systems: installation	109.2	19.0%	20.7
Q3 2030	Ongoing core service and warranty	22.0	65.0%	14.3
Q3 2030	Reimbursable service pass-through	11.5	0.0%	0.0
Q4 2030	Power systems: generators	287.1	25.6%	73.5
Q4 2030	Power systems: installation	121.8	19.0%	23.1
Q4 2030	Ongoing core service and warranty	22.0	65.0%	14.3
Q4 2030	Reimbursable service pass-through	11.5	0.0%	0.0

Operating-cost derivation

Quarter	G&A including sales, engineering, public-company costs and SBC
Q3 2026	31.0
Q4 2026	36.4
Q1 2027	38.8
Q2 2027	38.8
Q3 2027	38.8
Q4 2027	38.8
Q1 2028	43.5
Q2 2028	43.5
Q3 2028	43.5
Q4 2028	43.5
Q1 2029	48.8
Q2 2029	48.8
Q3 2029	48.8
Q4 2029	48.8
Q1 2030	52.8
Q2 2030	52.8
Q3 2030	52.8
Q4 2030	52.8

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q3 2026	EROC-ANTHROPIC-ATTACH	55%	0.0	0.0	0.0	0.0
Q3 2026	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q3 2026	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q4 2026	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q4 2026	EROC-ANTHROPIC-ATTACH	55%	0.0	0.0	0.0	0.0
Q4 2026	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q4 2026	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q1 2027	EROC-SUPPLY	65%	20.0	4.9	0.5	2.8
Q1 2027	EROC-ANTHROPIC-ATTACH	55%	18.0	3.4	0.7	1.5
Q1 2027	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q1 2027	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q2 2027	EROC-SUPPLY	65%	20.0	4.9	0.5	2.8
Q2 2027	EROC-ANTHROPIC-ATTACH	55%	18.0	3.4	0.7	1.5
Q2 2027	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q2 2027	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q3 2027	EROC-SUPPLY	65%	20.0	4.9	0.5	2.8
Q3 2027	EROC-ANTHROPIC-ATTACH	55%	18.0	3.4	0.7	1.5
Q3 2027	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q3 2027	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q4 2027	EROC-SUPPLY	65%	20.0	4.9	0.5	2.8
Q4 2027	EROC-ANTHROPIC-ATTACH	55%	18.0	3.4	0.7	1.5
Q4 2027	EROC-REPRICE	60%	0.0	0.0	0.0	0.0
Q4 2027	EROC-CAPACITY	45%	0.0	0.0	0.0	0.0
Q1 2028	EROC-SUPPLY	65%	-20.0	-5.0	0.0	-3.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	EROC-ANTHROPIC-ATTACH	55%	19.7	4.5	0.8	2.0
Q1 2028	EROC-REPRICE	60%	4.0	3.0	0.2	1.7
Q1 2028	EROC-CAPACITY	45%	0.0	0.0	0.5	-0.2
Q2 2028	EROC-SUPPLY	65%	-20.0	-5.0	0.0	-3.2
Q2 2028	EROC-ANTHROPIC-ATTACH	55%	19.7	4.5	0.8	2.0
Q2 2028	EROC-REPRICE	60%	4.0	3.0	0.2	1.7
Q2 2028	EROC-CAPACITY	45%	0.0	0.0	0.5	-0.2
Q3 2028	EROC-SUPPLY	65%	-20.0	-5.0	0.0	-3.2
Q3 2028	EROC-ANTHROPIC-ATTACH	55%	19.7	4.5	0.8	2.0
Q3 2028	EROC-REPRICE	60%	4.0	3.0	0.2	1.7
Q3 2028	EROC-CAPACITY	45%	0.0	0.0	0.5	-0.2
Q4 2028	EROC-SUPPLY	65%	-20.0	-5.0	0.0	-3.2
Q4 2028	EROC-ANTHROPIC-ATTACH	55%	19.7	4.5	0.8	2.0
Q4 2028	EROC-REPRICE	60%	4.0	3.0	0.2	1.7
Q4 2028	EROC-CAPACITY	45%	0.0	0.0	0.5	-0.2
Q1 2029	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q1 2029	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q1 2029	EROC-REPRICE	60%	6.5	4.9	0.3	2.7
Q1 2029	EROC-CAPACITY	45%	173.4	43.5	9.1	15.5
Q2 2029	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q2 2029	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q2 2029	EROC-REPRICE	60%	6.5	4.9	0.3	2.7
Q2 2029	EROC-CAPACITY	45%	173.4	43.5	9.1	15.5
Q3 2029	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q3 2029	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q3 2029	EROC-REPRICE	60%	6.5	4.9	0.3	2.7
Q3 2029	EROC-CAPACITY	45%	173.4	43.5	9.1	15.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q4 2029	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q4 2029	EROC-REPRICE	60%	6.5	4.9	0.3	2.7
Q4 2029	EROC-CAPACITY	45%	173.4	43.5	9.1	15.5
Q1 2030	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q1 2030	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q1 2030	EROC-REPRICE	60%	8.0	6.0	0.4	3.4
Q1 2030	EROC-CAPACITY	45%	237.0	60.2	11.9	21.7
Q2 2030	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q2 2030	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q2 2030	EROC-REPRICE	60%	8.0	6.0	0.4	3.4
Q2 2030	EROC-CAPACITY	45%	237.0	60.2	11.9	21.7
Q3 2030	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q3 2030	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q3 2030	EROC-REPRICE	60%	8.0	6.0	0.4	3.4
Q3 2030	EROC-CAPACITY	45%	237.0	60.2	11.9	21.7
Q4 2030	EROC-SUPPLY	65%	0.0	0.0	0.0	0.0
Q4 2030	EROC-ANTHROPIC-ATTACH	55%	2.8	1.7	0.1	0.9
Q4 2030	EROC-REPRICE	60%	8.0	6.0	0.4	3.4
Q4 2030	EROC-CAPACITY	45%	237.0	60.2	11.9	21.7

Claim decisions, overlap and triggers

EROC-SUPPLY

source: Oct 7 signed HD Construction Equipment long-block agreement for 2027-28

probability: 0.65

Conditional bound: $0-120m of pre-existing contracted power sales recognized in 2027 instead of 2028; selected $80m. This is a timing outcome, not new orders.

bridge: $20m/quarter moved into 2027 and removed from 2028; 72% equipment and 28% installation mix, same product margins; $2m additional 2027 expedite/qualification cost. Net revenue increment across both years is exactly zero.

overlap: 100% of shifted sales already inside $1.7bn backlog; no independent second backlog or demand increment. Probability reflects signed supply but undisclosed quantity, yield and customer acceptance.

EROC-ANTHROPIC-ATTACH

source: Issuer deck pp13-14 and Aug12 management call: 470MW is equipment-only, installation/O&M not yet signed

probability: 0.55

Conditional bound: Installation $94-188m from 470MW x $0.2-0.4m/MW; selected $141m over 2027-28. O&M mature revenue $11.1625m/year = 470MW x95% attachment x$25,000/MW-year, bound $8.93-13.40m.

bridge: Half installation in each 2027/28 at 18% GP, O&M ramp $1.4m/$8.37m/$11.1625m by 2027/28/29 at62% GP, and incremental engineering/SG&A4% of added revenue; weighted once at55%.

overlap: Existing 470MW equipment is wholly in reference backlog; only unsigned incremental scopes enter this branch. Reference service excludes this Anthropic cohort. Installation unit costs are analytical proxies, not disclosed contract rates.

EROC-REPRICE

source: Aug12 CFO: current negotiations show positive pricing/GM, benefit mostly2028+ because sold out into2028

probability: 0.6

Conditional bound: 2-6% premium on only newly negotiated product/installation wallet; selected4% on $400m/$650m/$800m eligible 2028/29/30 sales.

bridge: 75% of price delta reaches GP after component/labor/warranty costs;5% incremental sales/support cost;70% OP flow-through. No premium applied to fixed contracted backlog.

overlap: Reference product GM excludes this like-for-like price increase. Capacity expansion sales excluded from eligible wallet so price and volume branches do not compound without evidence.

EROC-CAPACITY

source: Aug12 CEO capacity expansion triggered near65% contracted; one1.2GW facility costs$15-20m and takes~12months, pipeline grew3x

probability: 0.45

Conditional bound: One additional1.2GW assembly module; selected accepted600MW in2029 and800MW in2030, bounded0-1.2GW. Not a current announced second facility.

bridge: $0.85/$0.87m equipment revenue perMW plus$0.30m installation,27%/19% GP, incremental O&M$3.6/$12m at62%GP,4.5% support plus$5m yearly plant/engineering overhead; $20m capex in2028 in funding test.

overlap: Reference generator deliveries remain near1.2GW existing capacity. This branch captures additional units only; no duplicate price premium, no assumption announced engine supply already covers new facility.

Remaining bounded uncertainties

- Source inconsistencies: release Q1 adjusted EBITDA summary of -$12.417m plus Q2 -$13.982m does not equal 10-Q H1 -$26.891m; use filed H1. Deck p22 change column is wrong even though current/prior amounts are usable. GAAP H1 operating loss -$35.599m reconciles.

- Slide7 prints >10 seconds to full load whereas management says as little as10 seconds. Neither is an independently certified response specification at every load/ambient condition. Treat environmental and competitive claims as issuer assertions.

- The call reference to $360-390m backlog conversion in2026 has ambiguous remaining-year versus full-year scope against $435-465m total guidance. Model anchors full-year total at$450m and $382.436m full-year power systems; do not add conversion guidance on top.

- No second public management earnings call before inaugural Aug12 call; S1/A annual histories substitute. Actual webcast is linked, transcript reproduction used for management remarks with issuer-slide corroboration.

- Class M exchange ratio depends on value and thresholds; full current52.372703m reserve plus1.028417m awards is conservative for lower equity values. Use max57.065274m Class M sensitivity; reserve is not guaranteed fixed future shares.

- TRA pays85% of realized tax savings. Model awards no tax asset or saved-tax cash; funding uses a25% ordinary-tax/TRA combined reserve. Early termination/acceleration is an unquantified claim risk; obtain schedules before recognizing any tax asset.

- Funding uses30% customer advance replenishment and working assets55% of quarterly revenue. These are stressable proxies, not signed future funding commitments. Cash is not added to20xOP ceiling. Restricted34.225m remains excluded; ABL250m not treated as free cash.

- Customer/site gas delivery, air permits, electrical acceptance and spare-parts response can limit usable installed power before nameplate assembly does. Deposits are obligations, and new engine agreement price/volume/minimum commitments are undisclosed.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] q2 release | 2026-08-12

https://ir.erock.com/news-events/press-releases/detail/135/erock-reports-second-quarter-2026-results

Archived source SHA-256: ae7bed695538ddfe97b058d7b85e9137654dddb35f2c32c02b5734e93b22e2a8

[2] q2 10q | 2026-08-12

https://ir.erock.com/sec-filings/all-sec-filings/content/0001193125-26-346922/eroc-20260630.htm

Archived source SHA-256: f4ab928b734c2c65dbb54fe64fbb7884c407bcf454fb2a9ff0c50ba2ef0cef3e

[3] q2 10q pdf | 2026-08-12

https://ir.erock.com/sec-filings/all-sec-filings/content/0001193125-26-346922/0001193125-26-346922.pdf

Archived source SHA-256: ab6cdd23401cdf6b1cb7362c6020539687929bd4b95f5bd836dd1f19b91710fc

[4] s1a | 2026-06-01

https://ir.erock.com/sec-filings/all-sec-filings/content/0001193125-26-249668/d12401ds1a.htm

Archived source SHA-256: 7d7fcca354253145c088f093fe1bb369b645c56061ff73b73454b52312cd7f5d

[5] engine supply | 2026-10-07

https://ir.erock.com/news-events/press-releases/detail/136/erock-hd-construction-equipment-sign-multi-year-engine-long-block-supply-agreement-to-accelerate-manufacturing-capacity

Archived source SHA-256: c19f7dbb377e8552c36ebbf77362771653be2ef9f7471b3d1b6d0b3b3576685e

[6] ir home | 2026-10-07

https://ir.erock.com/

Archived source SHA-256: 2942ec99aa5cfb970f3d84555366ceeace2cabba7846807a903be0e303d29e2c

[7] q2 deck | 2026-08-12

https://d1io3yog0oux5.cloudfront.net/_87038f422296da5577b2b93c40dd3b1a/erock/db/3576/34525/pdf/Aug+11+-+EROC+Earnings+Presentation_Design_V2.pdf

Archived source SHA-256: 31f9ab295ba48cb02c18307ce7fa90e48e7f675e1db361504e43f968d49386df

[8] Caterpillar AIP 2GW purchase agreement | 2026-01-28

https://www.caterpillar.com/en/news/corporate-press-releases/h/aip-boyd-cat.html

[9] Cummins Circe Energy gas-generation agreement | 2026-06-16

https://investor.cummins.com/news/detail/697/cummins-natural-gas-generators-to-power-large-scale-data

[10] August 12 inaugural management earnings call, transcript reproduction | 2026-08-12

https://stockanalysis.com/stocks/eroc/transcripts/706900-q2-2026/

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.